



MID TERM EXAMINATION
SEMESTER FALL 2005
MGT101-FINANCIAL ACCOUNTING(Paper 3)

Total Marks: 40
Duration: 60 min

Student ID/Login ID	
Name	
PVC Name/Code	
Date	

INSTRUCTIONS:

Please read the following instructions carefully before attempting any question:

- All questions are compulsory.
- This exam consists of 5 Multiple Choice Questions (MCQ's) carrying 2 marks each, 4 Short questions carrying 5 marks each and 1 Descriptive questions carrying 10 marks.
- You are required to show all the working of short questions as well as Descriptive question.
- This examination is closed book, closed notes, closed neighbors.
- Do not ask any questions about the contents of this examination from anyone.
- You may wish to pace yourself with your own watch, but the Supervisor will be the official timekeeper of the test.
- Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

Question	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8	Q9	Q10	Total
Marks											

Question No: 1

Marks: 2

Which of the following would not be categorized as current assets?

1. Stocks
2. Debtors
3. Plant and Machinery
4. Cash in hand

Question No: 2

Marks: 2

Pak Motors buys a stock worth Rs. 30,000 on credit on the last day of his accounting period and includes these items in Closing Stock. Which of the following figures in the Accounts would be increased by Rs. 30,000?

1. Cost of Sales
2. Working Capital
3. Gross Profit
4. Current Assets.

Question No: 3

Marks: 2

An account titled Unearned Fees would be classified as which of the following?

1. Asset account
2. Liability account
3. Revenue account
4. Expense account

Question No: 4

Marks: 2

Asset depreciation is calculated to which of the nearest time periods?

1. Day
2. Week
3. Month
4. None of the Given Option

Question No: 5

Marks: 2

Capital expenditures are:

1. The extra Capital paid in by the proprietor
2. The cost of running the business on day to day basis
3. Money spend on buying Assets or adding value to them
4. Money spent on selling Fixed Assets.

Question No: 6

Marks: 5

What do understand by the term Trial Balance?

Question No: 7

Marks:5

Differentiate between Single entry system and double entry system?

Question No:8

Marks: 5

What is Journal and what is the purpose of making a Journal?

Question No: 9

Marks: 5

What do you mean by Bank Reconciliation Statement?

Question No: 10

Marks: 10

The following is the trial balance extracted from the books of Naeem & Sons as on 30/06/2002. Prepare a profit & loss account & balance sheet for the year ended June 30, 2002.

<i>Particulars</i>	<i>Dr.</i>	<i>Cr.</i>
Sales		100,000
Purchases	45,000	
purchase return		3,000
Salaries	12,000	
Rent	5,000	
Debtors	25,000	
Creditors		16,000
Capital		368,000
Plant & machinery	400,000	
Grand Total	487,000	487,000